

Thanks to Trump, uncertainty in the global trading system is likely to persist

The 90-day **pause granted** earlier on Donald Trump's **reciprocal tariffs** **has come to an end**. While Trump's team may have been hopeful of signing quick deals — in the initial days, there was talk of closing 90 deals in 90 days — the actual progress made by the administration has been **considerably** below expectations. **Agreements** have been **struck** only **with** the UK and Vietnam and a **framework** has been agreed upon with China. More deals are **on the cards**. **Revenues**, though, **have surged**. According to reports, US tariff revenues **soared** to \$22.8 billion in May. Treasury Secretary Scott Bessent is hopeful of revenues touching \$300 billion by the end of 2025. But, **marked** by **unpredictability**, Trump's **tariff policy**, on which questions of **legality** have also been raised, **has** only increased uncertainty in the global economy.

The last few days have seen a **flurry** of tariff announcements. On Monday, Washington sent letters to 14 countries **detailing** the tariffs **imposed** on them. These are now effective from August 1. According to reports, US imports from these countries stood at \$465 billion last year. The tariffs **levied** range from 25 to 40 per cent. Even US **allies** like Japan and South Korea have not been **spared**. Six of the 14 countries belong to ASEAN — Cambodia, Indonesia, Malaysia, Thailand, Laos, and Myanmar — a grouping that has deepened integration with China. As per reports, **the letters**, **in line with** the US-Vietnam agreement, which doubles the tariff for transshipped goods, also **say** that “good transshipped to **evade** a higher tariff will be subject to that higher tariff”. This seems to be aimed at China. A recent **note** from Nomura, an investment house, **had pointed out** that “Asia is experiencing a significant surge in imports from China, raising concerns about potential transshipment activities”. **Countries** such as Japan, Thailand and Malaysia **have** responded by saying that they'll continue to hold discussions and **negotiate** with the US. Trump, however, has not stopped there. **Following** his **levies** on commodities like steel and aluminium on Tuesday, he announced 50 per cent tariffs on copper. The markets reacted immediately — copper futures soared around 9 per cent. That's not all. The US President has also threatened to impose up to 200 per cent tariffs on pharmaceuticals. He has also warned that members of BRICS would face a 10 per cent tariff.

Trump's tariff policies have **upended** the global trading **architecture**. **The Global Trade and Research Initiative**, a Delhi-based **think tank**, **has underlined** that these agreements do not meet WTO standards for FTAs. If Trump's past approach is anything to **go by**, there is a possibility that the tariffs imposed today could be revised tomorrow. The **uncertainty** in the global trading system **is**, therefore, likely to **persist**.

[Practice Exercise]

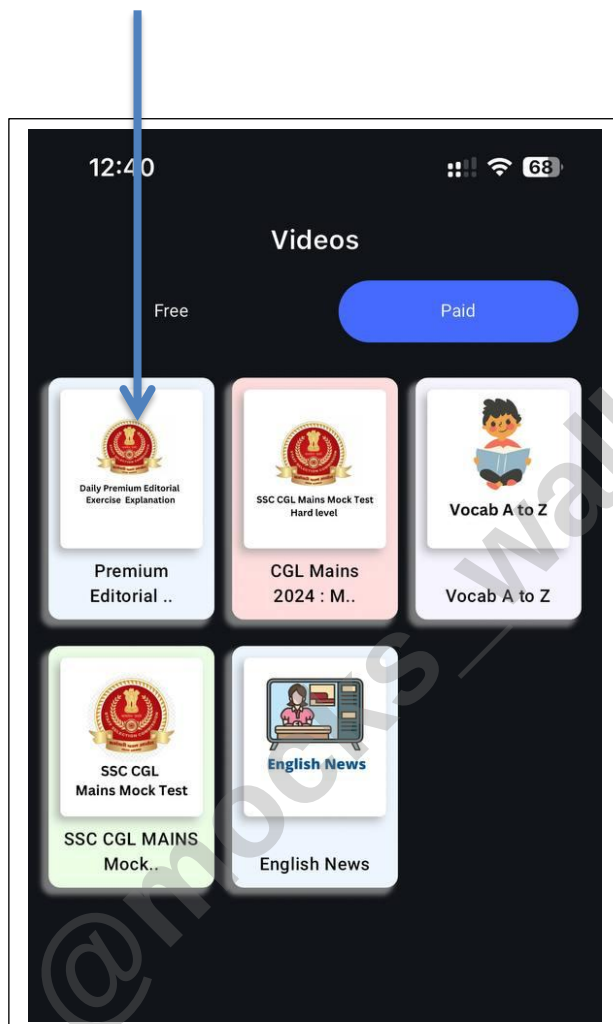
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Thanks to** (phrase) – because of, due to, owing to, on account of, as a result of की वजह से
2. **Persist** (verb) – continue, endure, prevail, remain, last बने रहना
3. **Grant** (verb) – allow, permit, approve, bestow, accord प्रदान करना
4. **Reciprocal tariff** (noun) – a trade policy where one country imposes tariffs on imports from another country in response to that country imposing tariffs on its exports प्रतिशोधोदात्मक शुल्क
5. **Come to an end** (phrase) – finish, conclude, expire, terminate, stop समाप्त होना
6. **Considerably** (adverb) – significantly, greatly, substantially, markedly, notably काफी हद तक
7. **Strike an agreement with** (phrase) – finalize deal, come to terms, settle with, reach consensus, agree with समझौता करना
8. **Framework** (noun) – structure, outline, system, setup, foundation ढांचा
9. **On the cards** (phrase) – likely, possible, expected, foreseeable, probable संभावित
10. **Surge** (verb) – rise, increase, escalate, swell, shoot up उछाल आना
11. **Soar** (verb) – rise rapidly, escalate, surge, rocket, increase तेजी से बढ़ना
12. **Mark** (verb) – indicate, show, signal, highlight, signify दर्शाना
13. **Unpredictability** (noun) – uncertainty, instability, unreliability, inconsistency, volatility अनिश्चितता
14. **Legality** (noun) – lawfulness, legitimacy, validity, admissibility, justice कानूनी वैधता
15. **Flurry** (noun) – burst, rush, wave, spree, shower तेज़ गतिविधि
16. **Detail** (verb) – describe, explain, outline, state, elaborate विस्तार से बताना
17. **Impose** (verb) – enforce, apply, implement, dictate, order थोपना
18. **Levy** (verb) – charge, collect, impose, demand, assess वसूलना
19. **Ally** (noun) – partner, associate, supporter, friend, comrade मित्र राष्ट्र
20. **Spare** (verb) – exempt, leave out, save, avoid, bypass बचाना
21. **In line with** (phrase) – in accordance with, as per, consistent with, conforming to, matching के अनुसार
22. **Evade** (verb) – avoid, escape, dodge, bypass, elude बचना

23. **Point out** (phrasal verb) – indicate, show, highlight, mention, note इंगित करना
24. **Negotiate** (verb) – discuss, bargain, mediate, confer, settle मोलभाव करना
25. **Following** (preposition) – after, subsequent to, post, ensuing, next to के बाद
26. **Levy** (noun) – tax, duty, charge, toll, tariff कर
27. **Upend** (verb) – overturn, disrupt, topple, dismantle, destabilize उलट देना
28. **Architecture** (noun) – structure, design, framework, system, layout संरचना
29. **Think tank** (noun) – research group, policy institute, advisory board, strategy group, idea lab नीति संस्थान
30. **Underline** (verb) – emphasize, highlight, stress, reinforce, accentuate जोर देना
31. **Go by** (phrasal verb) – follow, accept, obey, consider, rely on मानना
32. **Uncertainty** (noun) – doubt, unpredictability, instability, ambiguity, vagueness अनिश्चितता

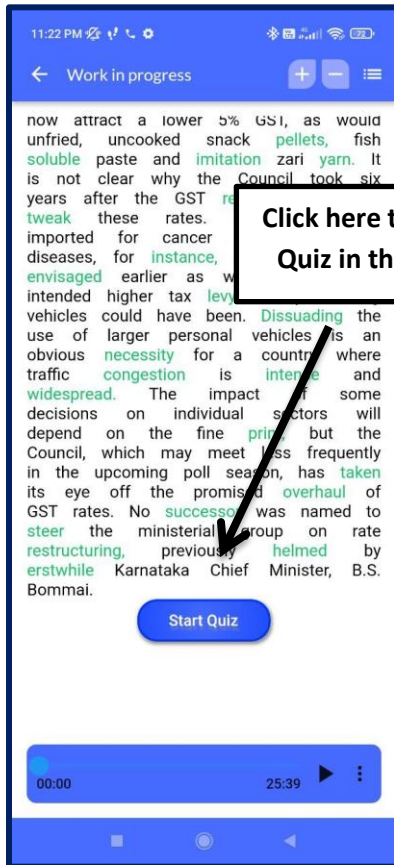
Video solution of Practice Exercise from this Editorial is exclusively available on App.



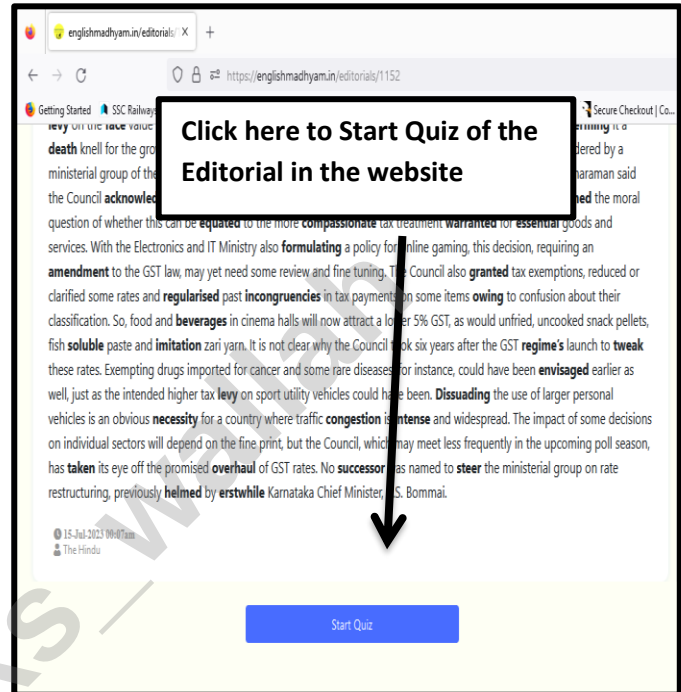
Summary of the Editorial

1. Trump's 90-day pause on reciprocal tariffs has ended, with minimal trade progress made during the period.
2. Although his team aimed for 90 deals in 90 days, only two agreements (UK and Vietnam) and a framework with China have been achieved.
3. Tariff revenues have increased sharply, reaching \$22.8 billion by May, with projections of \$300 billion by end of 2025.
4. Despite revenue growth, Trump's tariff policy remains unpredictable and raises legal and economic concerns.
5. A new wave of tariff announcements has been issued, affecting 14 countries starting August 1.
6. These 14 countries contributed \$465 billion in US imports last year, showing the scale of impact.
7. Tariff rates range between 25% to 40%, affecting even close US allies like Japan and South Korea.
8. Six affected countries are ASEAN members with close trade ties to China, indicating a targeted move.
9. The tariff letters mention penalties for transshipment, mirroring the US-Vietnam agreement, indirectly pointing at China's rerouting practices.
10. Nomura's report highlights a surge in Chinese exports to Asia, suggesting transshipment evasion concerns.
11. Japan, Thailand, and Malaysia have responded by expressing willingness to negotiate with the US.
12. Trump has also announced new tariffs on copper (50%), following earlier levies on steel and aluminium.
13. Copper futures rose by 9% following Trump's copper tariff announcement, showing market volatility.
14. Trump further threatened to impose 200% tariffs on pharmaceuticals and 10% on BRICS countries.
15. Experts warn that Trump's tariff regime violates WTO rules, and due to constant changes, global trade uncertainty will likely continue.

Practice Exercise: Banking Pattern Based



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